This work sample represents a high standard response. The student begins by clearly identifying/defining the influence, *quality expectations* and highlights that this influence impacts upon technology adopted and also upon the way in which quality is managed within the operations process – a logical linkage from the start.

There is significant use of business terminology (quality control, assurance, improvement etc...) There is specific reference to how Lego approach quality in response to the expectations of consumers (ISO standards, impact tests, product recalls, new moulding machines etc....)

Finally the student highlights how the response to the influence has impacted upon the business in terms of outcomes, and makes a judgment that it is 'substantial.'

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Quality Expectations & Technology

Quality expectations refers to the standard of product that has come to be expected by the customer. Facilitated by an increase in technology (particularly in technology available to manufacturing processes), the influence results in an increase in customer expectations as to the durability, consistency or reliability and fitness of purpose of a product.

Lego is a global manufacturer and distributor of Lego brand toys. For Lego, the rise in ~~technology~~ manufacturing technology available to business

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they meet consumer, company and international standards (ISO 9001 verification). After machines perform drop, torque, compression, bite and impact tests (to ensure safety for infants), 1% of blocks are randomly selected and taken to a control room where they are weight tested 6 times.

The opportunity provided by technology and a rise in quality expectations has led to this rigorous approach to quality management by LEGO which resulted in only 1 product recall in the last decade. The low tolerance of the highly automated injection moulding machine (0.0001mm) resulted in a reject rate of 15 per million bricks (0.00002 %). The response to the initiative was so substantial, that it contributed to a 3% lowering of costs in 2010, culminating in a 6 % increase in revenue the following year, highlighting the significant impact of quality expectations and

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provided an opportunity to ~~[illegible]~~ implement a quality management strategy that sought to take advantage of the situation.

Quality management consisting of quality control (the use of inspection at various points in the production process), quality assurance (comparing standards of production against set benchmarks) and quality improvement, quality management proved to be vital to LEGO as a means of responding to the significant challenges presented by rising quality expectations as well as the opportunity provided by a rise in technology and could be evaluated based on the criteria of:

- Number of product recalls
- Reject rates
- Revenue Growth.

Each LEGO set (from bricks to the instruction manual) is put through rigorous tests to ensure

they meet consumer, company and international standards (ISO 9001 verification). After machines perform drop, torque, compression, bite and impact tests (to ensure safety for infants), 10 blocks are randomly selected and taken to a control room where they are weight tested 6 times.

The opportunity provided by technology and a rise in quality expectations has led to this rigorous approach to quality management by LEGO which resulted in only 1 product recall in the last decade. The low tolerance of the highly automated injection moulding machine (0.0001mm) resulted in a defect rate of 18 per million bricks (0.00002%). The response to the influence was so substantial, that it contributed to a 3% lowering of costs in 2010, culminating in a 6% increase in revenue the following year, highlighting the significant impact of quality expectations can

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Influence has had a major impact on operations in particular

This work sample represents a 16/17 level response. The student begins well by clearly identifying/defining the influence, *globalisation* and highlights that this influence impacts upon supply chain management adopted within the operations process – a logical linkage from the start.

There is use of business terminology (global web, e commerce, logistics etc...) There is reference to the case study also, ie: how Crumpler approach the management of their supply chain in a global sense (shifted to offshore suppliers, better logistics with same time zones, increased market through online sales)

The response recognizes that there has been business improvement as a result of the changes in supply chain but doesn't clearly and explicitly make clear a judgment.

of such influences.

One influence that has had a major affect on operations is Globalisation. Globalisation refers to the removal of trade barriers between nations, and opens markets and opportunities for business to operate overseas. The influence of Globalisation has seen many business's take on strategies such as Supply Chain management (Influence the inputs and supply throughout the production process) in order to acomplish set business goals and performance objectives. One example of a business using Supply Chain management as a result of Globalisation and the logistics, e-commerce and global sourcing

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Crumplr

Is ~~[illegible]~~. Crumplr are a heavy duty baggage company with headquarters in Melbourne Australia. Globalisation has allowed Crumplr to alter it's supply chain management without the restraint of global sourcing (restriction of supply due to location). In 2005 Crumplr moved it's supply chain from domestic suppliers in particular hairess leather, to that of Suppliers situated in Japan and Malaysia. This has allowed Crumpler to develop a 'Global Web' (Suppliers situated in close proximity) and has the advantage of Cheaper volume of products. Efficiencies in ~~working~~ quality in the same time zone, and increased communications between suppliers and Crumplr. The sharing of time zone allowed for improved logistics as all supplies arived through the same comercial passage way and the decreased cost from the North Asian suppliers recently allowed Crumplr to open and sell online through e.commerce, which in turn is essentially in broadening their market, increasing market share from 7.7%. 2007 to 16.4%. 2014. The use of supply chain management from 2005 made possible from the influence of Globalisation has allowed Crumplr to achieve broader business goals such as

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increased revenue [up 14%] and an increase in the domestic market share.

Another influence of operations is Quality expectations. Quality expectations refers to the ~~high~~ standard of quality, cost, dependability and flexibility consumers place on a good or service sold by a business. ~~Another~~ Failing to adhere to the expectations can result in loss of sales, as consumers look to purchase products that meet their expectations. An strategy business can use to ~~deal~~ respond to quality expectations is Outsourcing. Outsourcing refers to a business financing an external business or producer for the production of part of or all the business's ~~product~~ good or service provided. Outsourcing allows for the business to outsource to a producer with it's soul focus on production of the product at the highest level. An example of a business Outsourcing it's products to meet quality expectations is Tiffany and Co. Tiffany and Co are ~~viewed~~ viewed as one of the highest quality jewelers in the world, Consumers ~~exp~~ have ~~expectations~~ expectations of the highest quality, and because of this Tiffany and Co have a full refund

This work sample represents a 12/13 level response. The student begins well by clearly identifying/defining the influence, *cost based competition* and highlights that this influence impacts upon new product design & development. The student doesn't recognize that a business is competing against competitors, not just against a break even point. The criteria doesn't really work for the student in this case.

There is use of business terminology (net profit, growth) At this point the paper suggests that Zara have increased net profit, not because they have outsourced and competed on cost, but because they are better at designing new products. In this case, the link is not *logical* and the student tries to suggest that because net profit has grown the business has been able to reduce costs. This isn't logical and the evidence they include doesn't support the assertion.

Hence, pretty good business terms, an attempt at a judgment but not logical.

operations in relation to the strategy of new product or service design and development.

The third influence that is cost-based competition has [redacted] operations in relation to the strategy of new product or service design and development. Firstly cost based competition refers to determining the break even point of the business and then applying strategies to gain a competitive advantage. However new product or service design and development refers to the design, development, launch and sale of products or service which lead to increased growth and gaining a competitive advantage. Again a company which is an example of being impacted by cost-based competition

is Zara, who is a leader in the fashion industry. The criteria in which this judgement of the impact of cost-based competition on on operations is

- Increased net profit compared to competitors
- The amount of new designs within the business. ~~which leads to increased flexibility.~~

Zara in the recent years has felt pressure from rival companies to become cheaper in there products sale price due to competitors outsourcing there production. However zara decided to continue with there business model of adapting to fashion trends established by competitiors as they felt it was more effective. Thus in regard to the first criteria point Zara through there business model and pressure of the influence of cost based competition has still managed to have a 25% net profit margin derrived from there products designed. However competitors net profit is only 8% (Handm) and 6% (Gap). This has all been achieved through the strategy of new product design and development

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Innovation through pressure of the influence of cost based competition. In relation to the second criteria point at Zara at their HQ "The cube" teams of 300 designs up to 30,000 new products per year however competitors only create 1-2% 2,000 to 4,000 per year. Proving that Zara is far more innovative and successful in new product design and development. This is through the criteria of increased net profit and the amount of new designs within the business proving that the influence of cost based competition has had a very crucial impact upon operations in regards to new product design and development.

Therefore through the examples of Zara and LEGO the influences of operations has had a very significant impact upon operations in relation to strategies.

This work sample represents a 7/8 level response. The student begins by identifying/defining the influence, *environmental sustainability* and then mentions technology but doesn't identify an impact.

The student then uses McDonalds and suggests that they 'only use coffee from the rainforest' – this isn't sustainable and there isn't a suggestion about the impact on operations (ie: transformed resources/inputs in the ops process)

There is very limited use of business terminology, and despite an attempt at a judgment at the end of the paragraph, there is minimal business terminology, logic and detail about operations.

really favours the customers.

Last influences on operations will be Environmental sustainibility. Environmental sustainibility refers to the decrease of factors which harm the nature in a company's product or service. Similar to technology, it may cost more in short term but it always benefits the company in long term situations. In the case of McCafe in McDonalds, they only use coffee been from the rainforest in order to show the importance of the rainforest and try to protect them. Also, they states that over 40% of their food waste are sent to farms for them to use. It helps the company to increase customer layalty as more and more are putting an effort in environmental works and they will be happy to spend money on a company with good environmental sustainability jobs.